# AGREEMENT AND PLAN OF MERGER — CLEAN (STRESS FIXTURE 01)

This Agreement and Plan of Merger (the “Agreement”) is made between Acquiror Inc. (“Buyer”) and TargetCo Inc. (“Target”).

## 1. THE MERGER

Target shall merge with and into Buyer pursuant to Section 251 of the Delaware General Corporation Law, with Buyer continuing as the surviving corporation (the “Merger”). The Plan of Merger is attached as Exhibit A. At the Effective Time, all assets, rights, and liabilities of Target shall vest in the surviving corporation by operation of law, without any separate instrument of assumption or transfer.

## 2. PURCHASE PRICE

Total consideration shall be $50,000,000: (a) $42,000,000 in cash at Closing; (b) $5,000,000 deposited into escrow per Section 3; and (c) up to $3,000,000 as Earnout Consideration per this Section. The Earnout shall be payable if the surviving entity achieves Adjusted EBITDA of no less than $8,000,000 for the fiscal year ending December 31, 2026. “Adjusted EBITDA” means net income before interest, taxes, depreciation, and amortization, computed in accordance with GAAP applied consistently with Target’s audited historical financial statements. Buyer covenants to operate the business in good faith and shall not take any action the primary purpose of which is to frustrate the Earnout. Buyer shall deliver an Earnout Statement within sixty (60) days following the Earnout Period; disputes shall be referred to an independent nationally recognized accounting firm whose determination shall be final and binding, with costs borne by the non-prevailing party.

## 3. ESCROW & WORKING CAPITAL

$5,000,000 (10% of consideration) shall be held in escrow for eighteen (18) months as the first source of recovery for indemnification claims. The Purchase Price shall be adjusted dollar-for-dollar for the difference between Closing Net Working Capital and a target of $4,000,000, determined under a defined true-up procedure.

## 4. REPRESENTATIONS AND WARRANTIES

Target represents and warrants as to organization, authority, capitalization, financial statements (which fairly present its financial condition in accordance with GAAP), absence of undisclosed liabilities, taxes (both United States and foreign), litigation, compliance with applicable laws, ownership of registered and material intellectual property, data privacy compliance, and the absence of any Material Adverse Effect since the Balance Sheet Date. “Knowledge” means the actual knowledge of the named executive officers after reasonable inquiry.

## 5. INDEMNIFICATION

Seller shall indemnify Buyer for breaches of representations, warranties, and covenants, for pre-Closing taxes, and for specified matters. General representations survive eighteen (18) months; fundamental representations and tax representations survive six (6) years; claims arising from fraud survive without limitation. The aggregate cap for general representation claims is 10% of the Purchase Price; fundamental and tax claims are capped at 100% of the Purchase Price. A deductible basket of 0.75% of the Purchase Price applies to general claims. The escrow is the first source of recovery.

## 6. MATERIAL ADVERSE EFFECT

“Material Adverse Effect” is defined with customary carve-outs (general economic conditions, industry-wide developments, changes in law, and the like), subject to a disproportionate-effect carve-back. A bring-down of representations and the absence of a Material Adverse Effect are conditions to Closing.

## 7. TERMINATION

This Agreement may be terminated: (a) by mutual written consent; (b) by either party upon an uncured material breach by the other (10 Business Days' cure); or (c) by either party if the Closing has not occurred by the Outside Date (90 days), except that this right is unavailable to a party whose breach was the primary cause of the failure to close. Customary termination fees apply to each party symmetrically.

## 8. EMPLOYEES

Key employees shall be retained for twelve (12) months post-Closing with continuation of compensation and benefits on no less favorable terms.

## 9. COVENANTS

Customary conduct-of-business covenants apply between signing and Closing. The parties shall use reasonable best efforts to obtain regulatory approvals, with filing obligations and costs allocated between them. An exclusivity / no-shop covenant binds Target during the interim period.

## 10. GOVERNING LAW

This Agreement is governed by the laws of the State of Delaware. Disputes shall be resolved in the Delaware Court of Chancery, or by arbitration administered in Wilmington, Delaware under the Commercial Arbitration Rules of the AAA.

## 11. RESTRICTIVE COVENANTS

The Seller principals agree to a non-competition covenant of three (3) years, reasonable in geographic and temporal scope and supported by the consideration paid hereunder. Post-Closing survival of representations and covenants is expressly provided in Section 5.

## 12. ENTIRE AGREEMENT

This Agreement, together with its Exhibits and Schedules, constitutes the entire agreement of the parties and supersedes all prior understandings, written or oral, relating to its subject matter.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Buyer Co: _____ Target Co: _____